Table 7.2. Phase II −− Global vs local cycle factor (horse race)

Country	R2 CF	R2 GCF	R2 joint	t(CF_perp)	t(GCF)	Wald p	Wald p (BH)
Belgium	0.305	0.213	0.305	2.36	3.66	0.000	0.000
Germany	0.261	0.291	0.291	0.10	4.35	0.000	0.000
France	0.128	0.267	0.268	−0.23	4.23	0.000	0.000
Italy	0.285	0.078	0.317	3.74	2.08	0.000	0.000
Netherlands	0.344	0.267	0.349	3.22	3.92	0.000	0.000
Switzerland	0.074	0.194	0.194	−0.13	2.95	0.013	0.013
UK	0.264	0.267	0.290	1.71	3.98	0.000	0.000
Sweden	0.241	0.296	0.299	−0.52	4.52	0.000	0.000
Canada	0.329	0.364	0.370	0.66	4.28	0.000	0.000
Japan	0.185	0.204	0.225	1.32	3.16	0.006	0.007
US	0.330	0.328	0.336	0.99	4.43	0.000	0.000

LHS: local−currency rx_bar_{i,t+12}. 'R2 CF' and 'R2 GCF' are single−factor fits (Eq 18, Eq 20); 'R2 joint' is rx_bar ~ CF_perp + GCF, with CF_perp the part of the local factor orthogonal to GCF (Eq 19). HAC t−stats; Wald p tests joint significance; BH = Benjamini−Hochberg FDR across the eleven markets. A significant GCF with an insignificant CF_perp signals subsumption by the global factor.